

Indian Economy During 1950-1990

→ Economic Planning

It means utilisation of country's resources into different development activities as per the national priorities.

Planning Commission
was set up in
1950

National development
council set up
in 1952

→ Objectives of Planning

A. Modernisation

It refers to the adoption of new technology and changes in social outlook. It is done with an aim to increase the production of goods and services. For example, a farmer can increase the output on the farm by using new seed varieties instead of using old ones.

B. Self Reliance / Self Sufficiency

It refers to reducing dependence on imports. India has achieved self-sufficiency of food-grains.

C. Economic Growth

It refers to increase GDP of a country. GDP refers to the money value of all final goods and services produced in the domestic boundary of a country.

D. Equity

It refers to the reduction in inequality of income and wealth. To achieve this target, various poverty alleviation

programmes were introduced.

→ NITI Ayog

NITI Ayog - National Institution for Transforming India Ayog.

It replaced planning commission.

It was formed on 1st January 2015.

Planning commission is now discontinued in India after its 12th five year plan completed in 2017.

From 2017 onwards, 15 years vision is followed in India instead of 5 years planning system.

→ Agriculture Sector

1. New agriculture policy was started in 1961. It is also known as New Agriculture strategy (NAS) or Seed - water - fertiliser Technology.
2. Problems of Indian agriculture sector:-

- A. Defective land settlement system includes exploitation of farmers by zamindar and unequal distribution on land.
- B. Low productivity includes lack of technology, lack of irrigation facilities and lack of infrastructure.

3. Following measures were taken to solve the problem of Indian agriculture

- A Land Reforms
- B Green Revolution
- C Subsidies

→ Land Reforms

Land reforms refers to change in the ownership of land holdings.

1. Land Ceiling

It refers to fixing the maximum size of land which could be owned by an individual. It is done to bring equity in agriculture sector.

2. Consolidation of land holdings

It means to bring landholdings of a farmer at one place rather than scattered in pieces at several places.

3. Abolition of intermediaries

zamindari system of land settlement was removed.

4. Cooperative Farming

5. Regulation of Rent

→ Green Revolution

1. It refers to an increase in the production of food grain specially wheat and rice due to the use of high yielding variety (HYV) seeds, fertilisers, pesticides and irrigation facilities.
2. It was launched in 1965-1966.
3. It is also known as new agricultural strategy (NAS) or seed-fertiliser-water technology.
4. It was a part of new agricultural policy started in 1961.

Importance of Green Revolution

1. Self sufficiency / Attainable Marketable surplus

Marketable surplus refers to the part of agricultural produce which is sold in the market after self consumption.

2. Buffer stock

The green revolution enabled the government attaining sufficient amount of food grains to build a stock which could be used in times of food shortage.

3. Benefits to low income group

Benefits to low income growth groups with an increase in supply of food grains. The price eventually fell down which enabled the members of low income groups to obtain the food grains at much cheaper rates.

Challenges to Green Revolution

1. Risks of Pest attacks

The HYV crops were more prone to attack by pests. So this was a risk that small farmer who adopted this technology could lose everything in pest attack.

2. Increase in income Inequality

There was a risk that expensive prices of HYV seeds, fertilizers, pesticides etc, could have increased the inequality of income as only big farmers could afford it.

→ Debate Over Subsidies

Economists in Favour

- (1) There was a risk of pest attacks on crops cultivated from HYV seeds, so subsidies were crucial.
- (2) The poor farmers were not capable of affording the costly inputs.
- (3) This could have increased the inequality of income hence subsidies were crucial.

Economists Against Subsidies

- (1) The maximum benefits of subsidies on inputs is reaped only by the large farmers who do not actually need them as they can afford inputs at higher price.
- (2) Subsidies are benefitting fertilisers industries more than farmer.

→ Organic Farming

It refers to the form of agriculture using organic manure instead of chemical fertilisers and pesticides.

Benefits of Organic farming

- (1) Economical farming
- (2) Healthier and tastier food.
- (3) Eco-friendly farming
- (4) Generate Income through exports
- (5) Generates employment.

→ Limitations of Organic farming

- (1) Organic farming offers lesser yield than the conventional farming.
Therefore, the productivity of the organic farming is lower than that of the conventional farming.
- (2) Organic products are sooner perishable.

Industrial Sector

1. Problems of Industrial Sector at the time of Independence :

- A. slow growth of modern industries.
- B. Lack of capital goods industries.
- C. Limited role of public sector.

2. Measures taken for Industrial development :

- A. IPR 1948
- B. Industrial licensing policy 1951
- C. Karve Committee was formed for the development of SSI and village industries in 1955
- D. IPR 1956 (Imp)
- E. New Industrial Policy 1991

Main Features of IPR 1956.

(1) According to IPR 1956, Industries were classified into following 3 categories:

Category-1 → 17 industries were listed in this category and all were established and owned exclusively by the public sector like aviation, electricity, atomic energy etc.

Category-2 → 12 industries were listed in this category for which public sector will perform the main role while private sector will play the secondary role. It means, the private sector supplements the public sector in these industries like cotton, textile, jute, aluminium etc.

Category-3 → Those industries could be established through a license from the government.

(2) Private sector industries could be established through a license from the government.

(3) Tax rebates and other concessions were offered to those private enterprises whose industry was established in backward regions of the country.

(4) More importance was given on the development of SSI through subsidies and tax concessions.

→ Foreign Trade

1. Indian foreign Trade policy followed these objectives:
 - A. Protection of domestic industries from foreign competition.
 - B. Saving foreign exchange by restricting expenditure on imports.
2. Following measures were taken to achieve above mentioned objectives -
 - (1) Import Substitution
 - (2) Tariff
 - (3) Quota

→ Tariff - Refers to the taxes imposed on imported goods.

→ Quota - Refers to fixing the maximum limit on imports.

→ Import Substitution Policy



(1) It refers to the replacement of imports by domestic production.

(2) It is also called inward looking policy.

(3) Reasons for import substitution were:

A The risk of falling foreign exchange reserve in India.

B Indian goods were unable to compete with foreign goods.